



Weekly Market Note
September 18th, 2026

Economic Data & Markets Summary

Index	Asset Class	MTD	YTD
MSCI World	Equity	-0.56%	12.84%
MSCI Asia Pacific	Equity	0.06%	19.78%
MSCI Europe	Equity	-1.82%	9.85%
MSCI China	Equity	-3.63%	-11.16%
Bloomberg Barclays Global Aggregate Index	Fixed Income	-0.60%	-0.89%
Bloomberg Commodities Index	Commodities	2.72%	31.70%
HFRX Global	Hedge Fund	-0.14%	4.25%
HFRX Macro/CTA	Hedge Fund	1.00%	6.74%
HFRX Equity Hedge	Hedge Fund	-0.48%	7.37%

*Index data as of September 11, 2026

Global Markets & Economic Data:

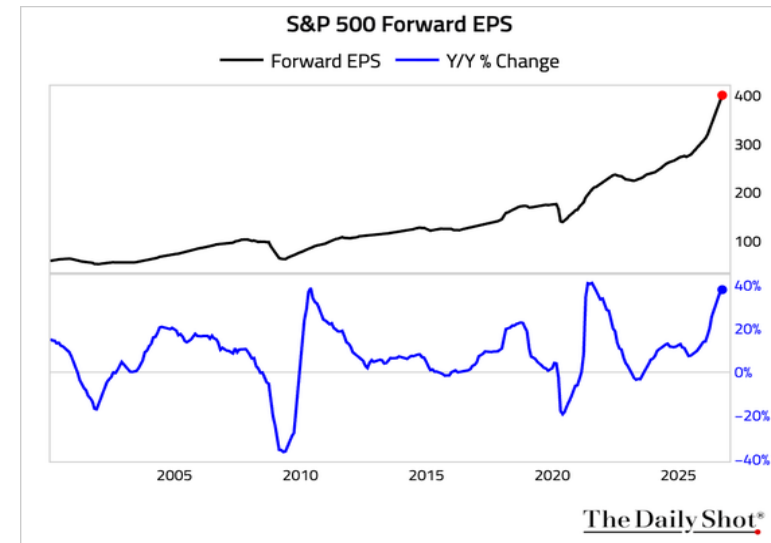
Monthly OpEx, a rate hike, war and dystopian AI prognostications remain poignant topics for investors.

US: The FOMC raised its policy rate by 0.25% and signaled at least one more hike to come. Mich. Consumer Sentiment data remains extremely weak.

Switzerland/UK/EU: Switzerland's trade surplus narrowed driven by a drop in EU imports. The BoE held rates unchanged at 3.75% amid uncomfortably high inflation (Aug. CPI at 3.1%). Germany's ZEW Economic Sentiment Index hit its highest level since February.

Japan/China: Japan's inflation rate remained at 1.9%, its highest level since December 2025 with prices rising across almost all categories. Chinese Retail Sales remained sluggish, growing only 0.4% y/y, held back by a nearly 20% fall in auto sales. Meanwhile, Chinese Industrial Production grew by 5.2% y/y in August ahead of estimates.

Earnings!!!!



- Taking a step back from the noisy technical and sentiment driven price movements, there has been reasonable justification for the stunning bull market in US stocks over the past 36 months.
- Corporate earnings have delivered and forecasts continue to tick higher. While one can debate how soon AI will annihilate civilization, in the meantime we are in boom times.
- The Fed seemed to acknowledge it this week with its first rate hike in years. Also, technically equities cannot seem to crack to the downside despite mounting macro concerns which has led the VIX volatility index to remain rangebound at multi-year lows.
- While most hedge fund PMs acknowledge the strong fundamental backdrop, it has been quite tricky lately to monetize this view due to the top-down headwinds, narrow market leadership and violent factor and sector rotations under the surface.
- So far this year, the set it and forget it crowd of passive equity investors are winning, and we remain eager to observe if/when this trend will ever inflect.

Market Spotlight: Tech is back!

- We are observing a solid bid come back into tech stocks with the two week period ending Sep. 10th featuring HF buying flows at the 97th percentile on a rolling 5-year basis.
- Interestingly the tech renaissance is coinciding with reports that Situational Awareness is back buying up cash equities as well as derivatives tied to tech stocks. Some fear Leopold is deploying the same exact playbook as the one that nearly destroyed his business in July.
- However, recent hedge fund industry conferences validated the flows with banks rolling out top analysts to sit on AI panels and argue “we are only in the 4th inning” of the capex boom and that the hyperscalers remain the true beneficiary as they have the most ways to profit.

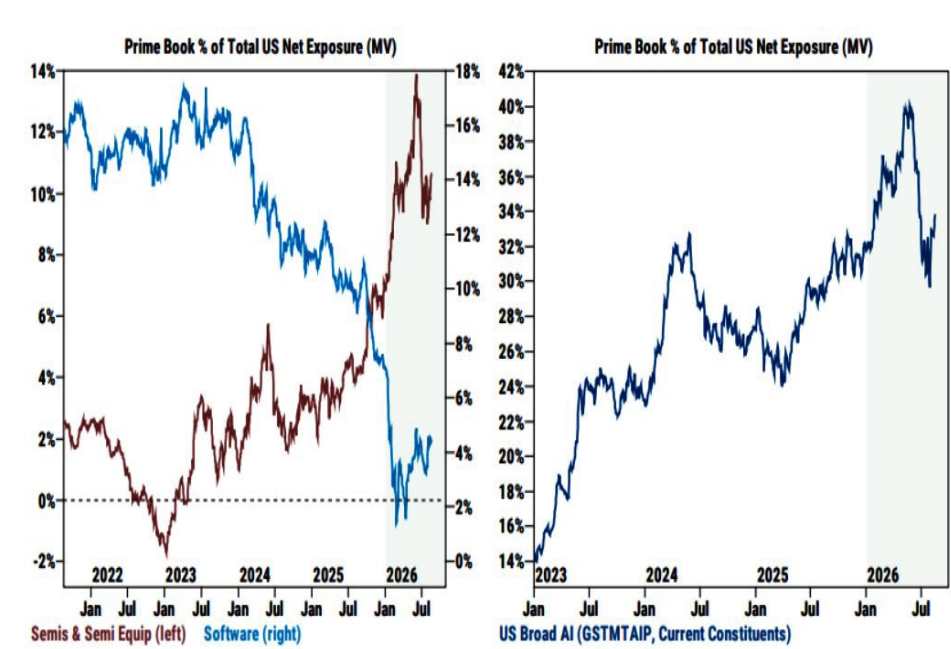
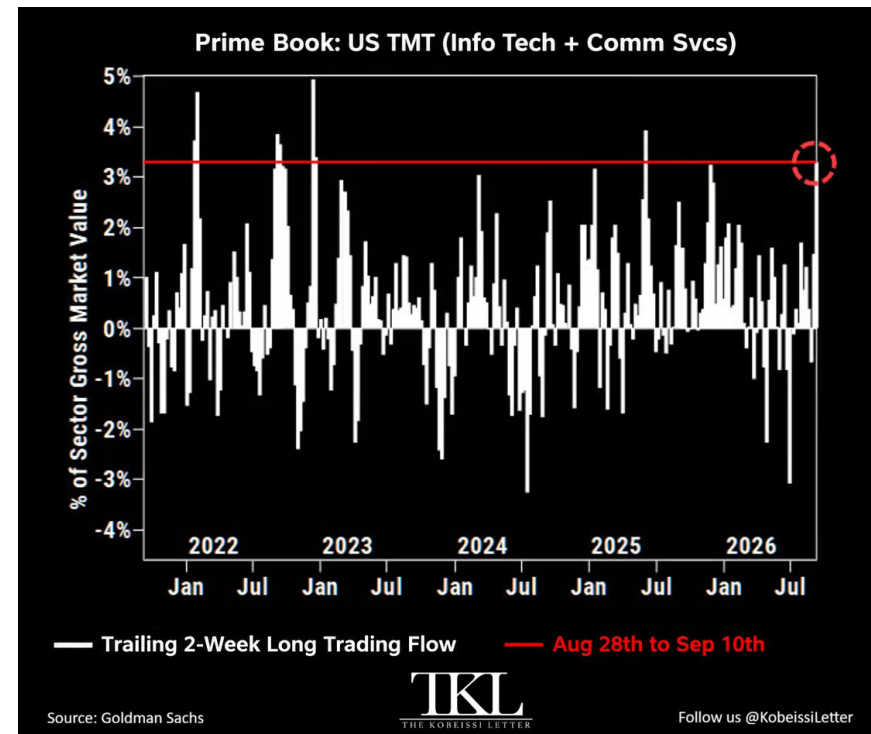


Chart Source: Goldman Sachs



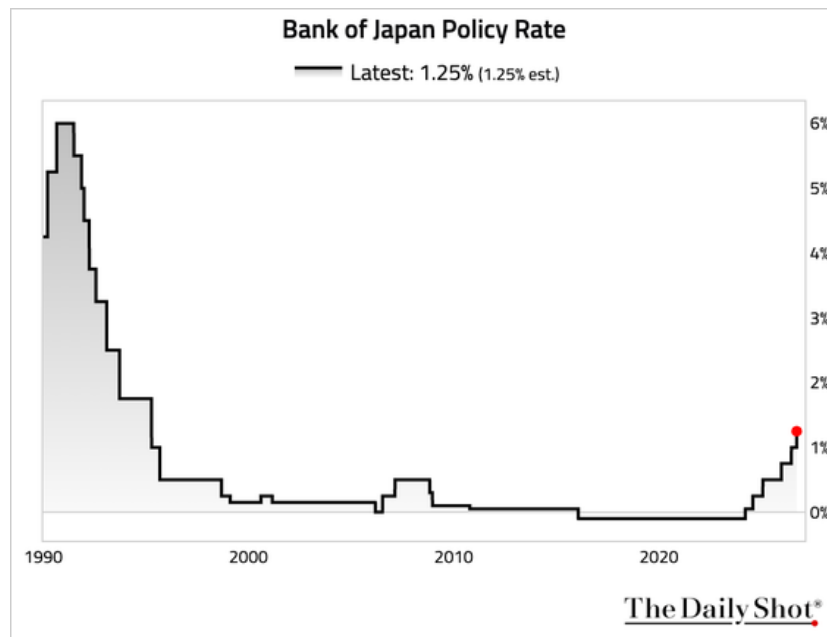
Source: Goldman Sachs

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Market Spotlight: The curious case of Japan

The BoJ hiked, but the market does not think it's enough with the JPY selling off



Japan's unique CPI calculation methodology and recent utility subsidies create further uncertainties

The Real-World Implications

Scenario	Japan's Core CPI (Excludes Fresh Food Only)	Western-Style Core CPI (Excludes Food & Energy)	Monetary Policy Impact
Global Energy/Oil Shock	Higher (captures rising electricity, gas, and fuel costs)	Lower (ignores direct energy price spikes entirely)	Can force central banks to react to temporary commodity shocks instead of long-term economic health.
Heavy Government Subsidies	Lower (reflects artificial, state-funded discounts on utility bills)	Higher (captures raw demand-driven price stickiness)	Gives a false impression that inflation is cured, making the central bank hesitate to adjust interest rates.

- Given government interventionist policies at work to directly influence both asset prices and economic data, macro manager risk levels in Japan remain subdued.
- Today the BoJ hiked interest rates by 25 basis points to 1.25% resulting in the highest borrowing costs since April 1995.
- The JPY weakened versus the USD on the news because of dovish commentary out of the bank with economic analysts believing the bank should have more urgency to normalize rates in the face of rising inflationary pressures.
- Underscoring the markets divergence with the BoJ is Japan's unique methodology for calculating the CPI figure the bank references when setting policy.
- Further exacerbating the confusion and misinformation currently is the Japanese government's recent actions to provide heavy subsidies to suppress electricity and gas bills, artificially moving headline figures down.

Market Spotlight: US equities, too big to fail

- Staggering figures demonstrate the dependence of the US economy on the fate of its stock market, which increasingly is becoming too big to fail.
- Not only does America's sitting president use the nation's stock market as a scoreboard, but the general investing public is all-in as well.
- The estimated investor equity/fixed income allocation ratio hit 72%, the highest since 1969. For reference the ratio peaked out at 66% at the peak of the dot-com boom.
- Furthermore, US household's equity allocation percentage of total financial assets hit 48%, which is 10% above dot-com peak levels.
- In such a backdrop, one should consider diversifying hedge fund strategies as a risk managing component of an overall asset allocation.

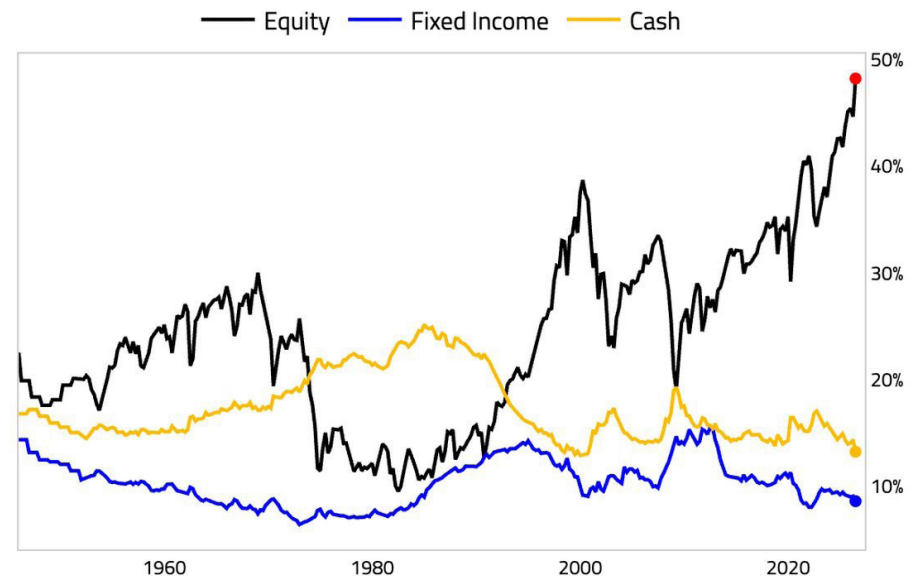
Exhibit 6 - Equity allocation at 72%, the highest level since 1969

Estimated equity allocation vs. fixed income (1951-8/26)



Source: Wells Fargo Securities, LLC, Bloomberg

US Household Asset Allocation (% Financial Assets)



The Daily Shot®

The hungry judge effect



The Case of the Hungry Judges

In 2011, Shai Danziger, Jonathan Levav, and Liora Avnaim-Pesso, researchers at the Hebrew University of Jerusalem and Stanford University, published a bombshell finding: they'd analyzed over 1,000 parole-board decisions across 50 hearing days by eight experienced judges and discovered something shocking. Favorable rulings hovered around 65% right after breaks, then plummeted toward zero by session's end, only to reset after the next snack. The headline practically wrote itself: "Justice is what the judge ate for breakfast!"

But here's where it got messy. Keren Weinshall-Margel and John Shapard, legal scholars and decision-making researchers, immediately cried foul. They argued the judges' schedules weren't random. Maybe administrators finished one prison's cases before breaks, or unrepresented prisoners got scheduled later. If case type varied with time, not hunger, it could explain everything.

The original team fought back, adding legal representation to their analysis. The pattern persisted. Still, doubt lingered.

By 2016, Andreas Glöckner, a psychologist and judgment researcher, published simulations showing the effect's magnitude might be wildly exaggerated. Plausible scheduling quirks alone could create the same pattern.

The moral? Judges' decisions do get influenced by weird stuff, but the "hungry judge" story makes for better headlines than "inconclusive interaction effects." Courts should still randomize case order and audit outcomes anyway. Sometimes messy science teaches the most important lessons.



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